from receivables (trade debtors and bills receivable), surplus from disposal of old assets and so on. These sources can meet only limited needs of business enterprise.

2. External Sources

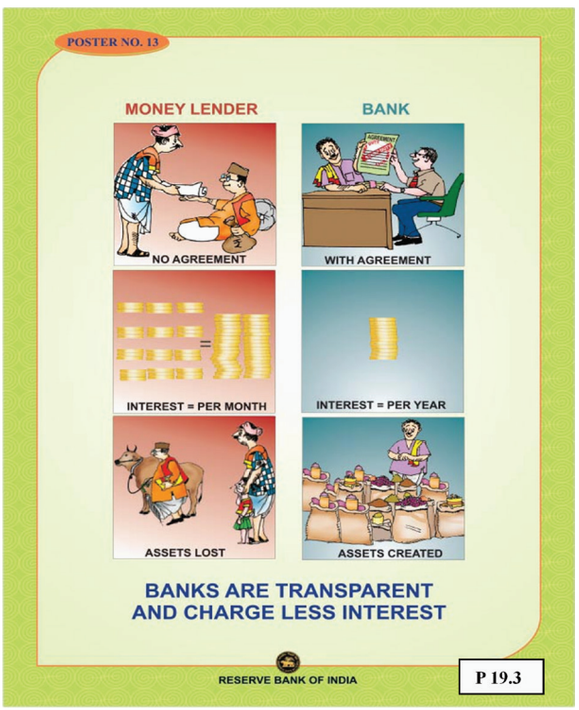
External sources of funds include all those sources which generate funds from outside the business enterprise. For example issue of shares and debentures, borrowings from banks and financial institutions, public deposits, factoring, leasing, hire purchase, etc.

19.03 Factors Influencing Choice of Business Finance

There are various factors influencing choice of source of business finance. These factors are briefly discussed below

1. Cost

Business enterprises have to analyse the cost of mobilising and utilizing the funds. For



Informal money lenders

There are certain groups or individuals in urban and rural areas of Tamil Nadu, and all over India, who lend money informally. They follow unethical practices of lending by

i) Charging very high rate of interest on daily basis.
ii) Collecting back the loans through money and muscle power.
iii) Ill-treating the borrowers to the core, sometimes leading to suicides
iv) Being highly choosy about the borrowers rather than the project financed.

The RBI and the respective governments in various states have come up with many legal control measures, but still they are beyond the reach of such measures. For example with the rapid growth in information technology personal financing has undergone a sea-change. Peer-to-peer lending is very popular among urban salaried class. Sites like https://www.faircent.com/ enable salaried people to take an advance at a nominal interest in case of emergencies.

Micro finance or financing small business enterprises today has to be viewed from the 'ethical' sources than the 'informal' sources that are totally unscrupulous in their financing practices. So Entrepreneurs can approach sites like https://udyamimitra.in to apply for MSME, 'STAND UP INDIA' and MUDRA loans.

The website portals like https://www.vidyalakshmi.co.in/ enable the students to approach for Education Loan in moderate rate of interest for further studies in various banks and financial institutions. The portal helps in providing linkages to National scholarship Portal.

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